

Corporate Financial Reporting - I

Syllabus

Module - 1- Introduction to Corporate Financial Reporting and Regulatory Framework.

Module - 2- International Financial Reporting Standards (IFRS) and Ind AS (Accounting Standards).

Module - 3- Ind AS 2: Inventories.

Module - 4- Ind AS 16: Property, Plant and Equipment.

: Definition .

"Corporate Financial Reporting is the communication of a company's financial information through financial statements and related disclosures to help users make economic decisions."

* Objectives / Purpose of Corporate Financial Reporting

1. To provide information about financial performance.
2. To provide information about financial position.
3. To assist in decision-making.
4. To ensure transparency and accountability.
5. To provide information about cash flows.
6. To facilitate comparison between different companies and sectors.
7. To provide accounting records.

Module-1- Introduction to Corporate Financial Reporting and Regulatory Framework.

• Meaning:-

Corporate Financial Reporting refers to the Process of Preparing and presenting the financial information of a Company through financial Statements and related reports so that Shareholders, investors, Creditors, government authorities, and other users can understand the Company's financial performance and financial Position.

• Definition :

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- 1) To provide information about financial Performance.
- 2) To Provide information about financial Position.
- 3) To assist in decision-making.
- 4) To ensure transparency and accountability.
- 5) To Provide information about Cash flows.
- 6) To facilitate Comparison
 (between different Companies and across different accounting Periods).

- 7) To Comply with legal and regulatory requirements.
- 8) To Assess future Prospects.

(Company's future Profitability, growth potential, and financial Stability.)

* Financial Statements:

• Meaning :-

Financial Statements form a part of the Process of financial reporting. A Complete Set of financial Statements normally includes a balance sheet, a Statement of Profit and Loss, a Cash flow Statement, and other Statements that are an integral part of the financial Statements.

• Objectives :

- 1) Basic objective is to provide financial information.
- 2) Financial Position (structure, liquidity, and solvency).
- 3) Performance.
- 4) Cash flows.
- 5) Stewardship and Accountability.
 (Careful) (Responsible)

• Components of financial statements:

- 1) Balance Sheet
- 2) Profit and Loss Statement
- 3) Cash Flow Statement.
- 4) Notes and Schedules.

* Importance of financial Statements to users / Stakeholders.

→ The users of financial Statements use these statements in order to satisfy some of their information needs. The users are as follows:

1) Investors :-

To determine whether they should buy, hold, or sell.

2) Employees :-

They are interested in information about the stability and profitability of the enterprise.

3) Lenders :-

They need to determine whether their loans and interest will be paid when due.

4) Creditors (Suppliers) :-

They need to determine whether the amounts owing to them will be paid when due.

5) Customers :-

They have an interest in information about the continuation of an enterprise.

6) Government :- To determine taxation policies and to Calculate the national income and similar Statistics.

7) General Public :- Financial Statements may help the public by providing information about the trends and recent developments in the Prosperity of an enterprise and the range of its activities.

^(Disadvantages / Demerits)
* Limitations of Corporate financial reporting:

- 1) Based on historical data.
- 2) Use of estimates and personal judgment.
- 3) Chance of manipulation of accounts.
- 4) Qualitative factors are not shown.
- 5) Effect of inflation.
- 6) Complexity of financial statements.
- 7) Lack of Proper Comparability.
- 8) Delay in information.
- 9) Future uncertainties cannot be fully shown.
- 10) Dependence on the honesty of management.

* Purpose and objectives of Financial Statements

1) Position, Performance and Cash flows:

Balance Sheet, Profit and Loss Account, and Cash flow Statement make up the financial Statements of an organisation. The objective of a business entity is to provide information about the financial Position, Performance, and Cash flow that is useful for economic decision-making by various users who are not in a position to demand reports to meet their information needs.

2) Stewardship :

Financial Statements also show the results of the Stewardship of management of that is the responsibility of management for the resources.

3) Assumption :

i. ^(Due Basis) **Accrual Basis** :- In order to meet these objectives, financial Statement are prepared on the accrual basis of accounting. Under this basis, the effects of transactions are recognised as and when they occur and not as Cash is received or paid. They are recorded in the accounting records and reported in the financial Statements of the period to which they relate.

ii. Going Concern :- The financial statements are generally prepared on the assumption that an enterprise is a going concern and will continue in operations for the future. Hence, it is assumed that the enterprise has neither the intention nor the need to liquidate. If such an intention exists, the financial statements may be prepared on a different basis.

iii. Consistency :- In order to achieve comparability of the financial statements through time, the accounting policies are followed consistently from one period to another. A change in an accounting policy is made only in certain exceptional circumstances / situations.

* Conceptual Framework for financial statements.

The framework for the preparation and the presentation of financial statements issued by the International Accounting Standards Board (IASB), sets out the concepts that are the basis for the preparation and presentation of financial statements for external users.

* Characteristics, Features, and Nature of financial Statements.

- 1) Qualitative.
- 2) Understandability.
- 3) Relevance.
- 4) Reliability.
- 5) Comparability.
- 6) Timeliness.
- 7) Balance between benefits and cost.

* Corporate Governance.

Meaning :-

Corporate governance refers to the rules, systems, and processes through which companies are directed and controlled. It defines the relationship between management, Board of Directors, Shareholders, Auditors, and other Stakeholders. Good Corporate governance ensures that companies work honestly and disclose correct financial information to the public. It promotes transparency, accountability, and the protection of Shareholders interests.

• Corporate Governance framework in India.

In India, Corporate governance is regulated through:

- 1) Companies Act, 2013
- 2) SEBI Regulations.
- 3) Indian Accounting Standards (Ind AS).
- 4) Guidelines issued by regulatory authorities.

• Important institutions involved in Corporate governance include:

- 1) Ministry of Corporate Affairs.
- 2) Securities and Exchange Board of India.
- 3) Institute of Chartered Accountants of India.

* Role of Corporate Governance in financial Reporting.

- 1) Improve transparency.
- 2) Stronger internal control.
- 3) Increases management accountability.
- 4) More Confidence in reporting.
- 5) Promotes ethics
- 6) Protects investors.
- 7) Ensures Compliance.

* Elements of Financial Statements:

(Components or Parts)

The elements of financial Statements are:-

- 1) Assets, Liabilities, and Equity which relate to a reporting entity's financial Position.
- 2) Income and Expenses, which relate to a reporting entity's financial Performance.

Elements of Financial Statements

Assets Liabilities Equity Income Expenses

These elements are linked to the economic resources, Claims, and Changes in economic resources and Claims. These are defined below:

Items Stated
in Framework

Element

Definition or Description.

1) Economic Resource

Assets

A Present economic resource ^{owned} ^{Company / Organisation} controlled by the entity as a result of past events. An economic resource is a right ^{Capacity, Future} that has the potential to produce economic benefits.

2) Claim

^{owe} Liabilities

A present ^{Duty} obligation of the entity to transfer an economic resource as a result of past events.

Equity

^{whatever left at the end} The residual interest in the assets of an entity after deducting all its liabilities.

Items Stated in Framework	Element	Definition or Description.
3) Changes in economic resources and Claims reflecting financial performance.	Income	Increases in assets or decreases in liabilities that result in increases in ^{Profit} equity other than those relating to contributions from holders of equity claims.
	Expenses	Decreases in assets or increases in liabilities that result in decreases in equity other than those relating to distributions to holders of equity claims.
4) Other Changes in Economic Resources and Claims	Money or Assets brought into the business by the owners Money taken out by the owners. (Drawings).	Contributions from holders of equity claims and distribution to them Exchange of assets or liabilities that does not result in an increase or decrease in equity.

* Trick to remember:

Assets = Liabilities + Equity.

Equity = Assets - Liabilities.

- Assets :- What Company owns.
- Liabilities :- What Company owns / has to pay.
- Equity :- What belongs to the owners after paying all liabilities.

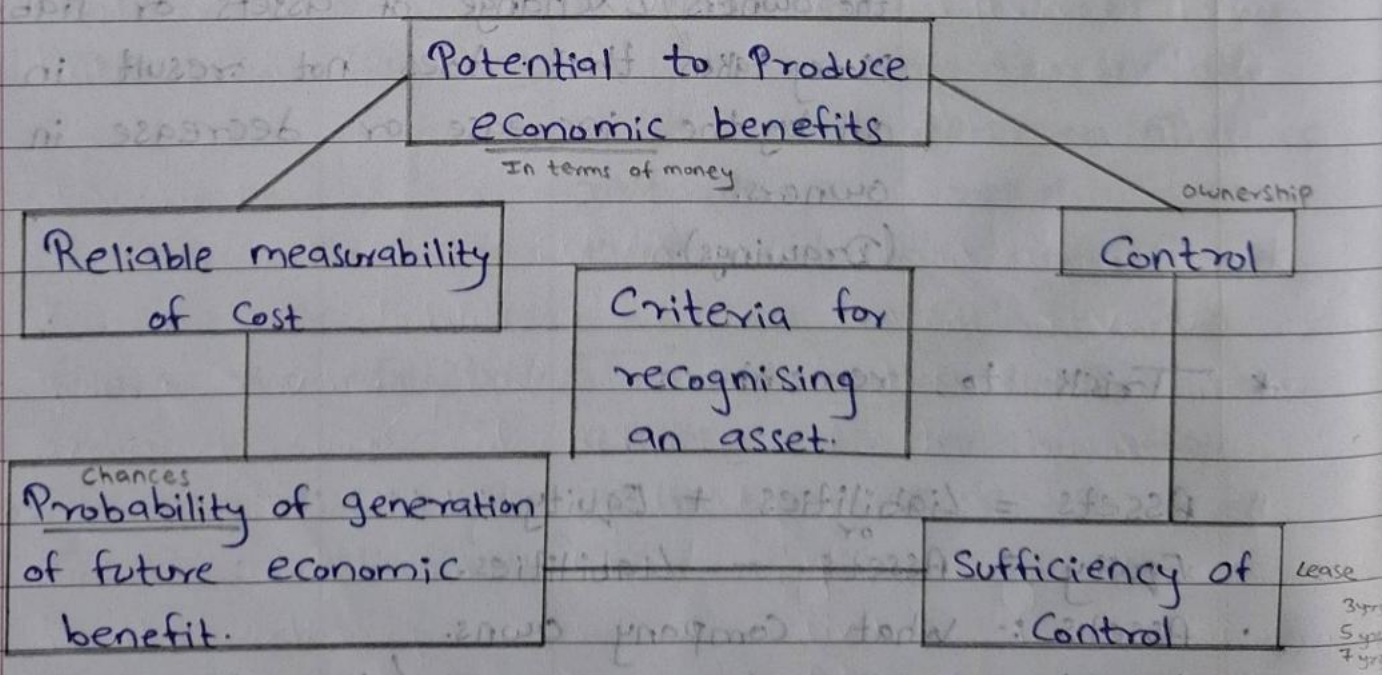
1) Example :- The business purchases machinery worth ₹ 1,00,000 by paying cash. Cash decreases machinery increases Total assets remain the same. Equity does not change.

2) Example :- A Short-term loan is converted into a long-term loan. one liability is replaced by another equity does not change.

* Recognition of Elements of Financial Statements:

1) Asset :

An asset is a present economic resource controlled by the entity as a result of past events. An economic resource is a right that has the potential to produce economic benefits.



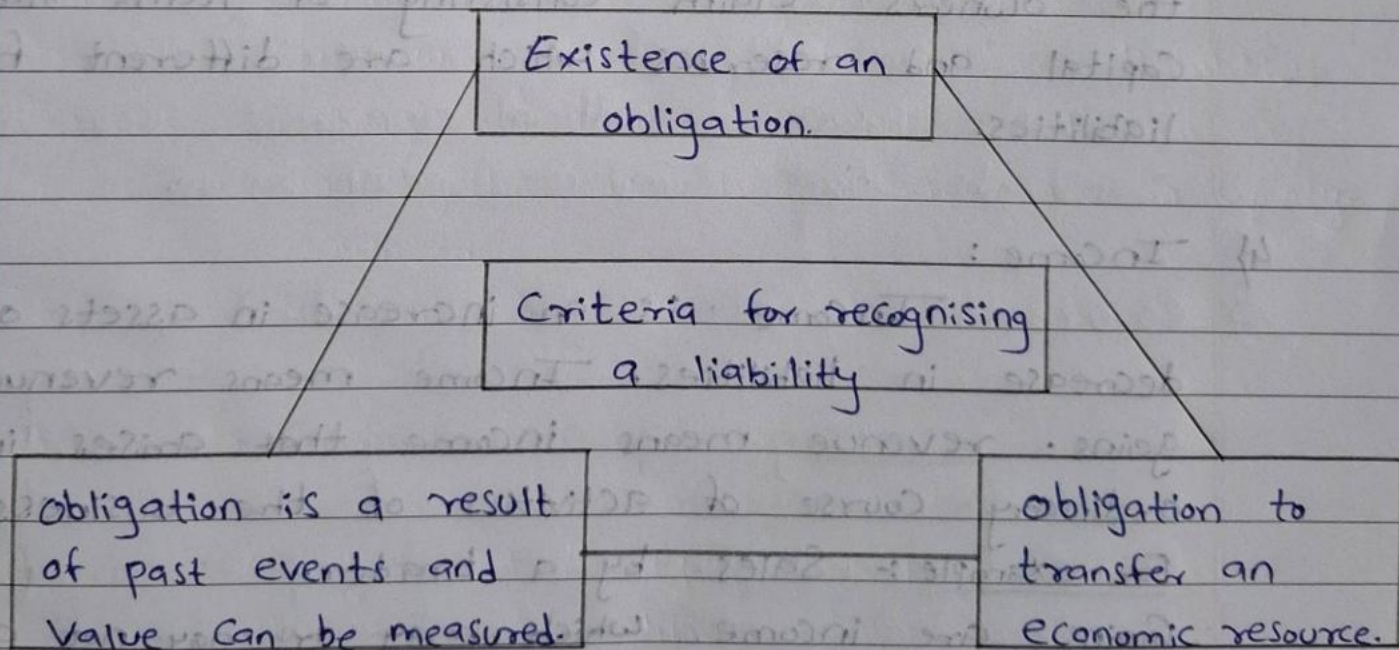
For Example :- A Company purchases a machine worth ₹ 5,00,000.

- 1) It has a right to use the machine.
- 2) The Company Controls it.
- 3) It will help produce goods and earn profit.
- 4) The machine is expected to provide future benefits.
- 5) It's Cost is Known that is ₹ 5,00,000.

2) Liabilities :

A liability is a present obligation of the entity arising from past events. The settlement of which is expected to result in an outflow of a resources.

For a liability to exist, the following criterias must be satisfied.



A Company purchases raw materials worth ₹ 1,00,000 on Credit.

- 1) The Company has a present obligation to pay the Supplier.
- 2) It will transfer Cash in the future to settle the amount.
- 3) The obligation ^{Arising} arose from past event (Purchase of goods) and the amount (₹ 1,00,000) is known.

Therefore, ₹ 1,00,000 will be recognised as a liability in the balance Sheet.

3) Equity :

Equity is the residual interest in the assets of an entity after deducting all its liabilities. In other words, equity represents the owners claim consisting of items like Capital and reserves which are different from liabilities.

4) Income :

Income is an increase in assets or a decrease in liabilities. Income means revenue and gains. revenue means income that arises in the ordinary course of activities of the business.

For example :- Sales by a trader.

Gains are income, which may or may not arise in the ordinary course of activities of the business.

For example :- Profit on sale of plant, machinery, or equipment.

This gains are shown separately in the statement of profit and loss because the knowledge is useful in assessing the performance of the enterprise.

5) Expenses :-

Expenses are decreases in asset or increases in liabilities. The definition of expenses includes expenses that arise in the ordinary course of activities of the business.

For example :- Salary paid, Rent Paid, Wages paid, etc.

Loss may or may not arise in the ordinary course of activities of the business.

For example :- Loss on sale of property, plant, machinery, etc. losses are

losses are shown separately in the statement of profit and loss because the knowledge is useful in assessing the performance of the business.

Imp

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Role of ^{Legal} Statutory Bodies:

1) ^{Group of People} Ministry of ^{Company} Corporate ^{activities} Affairs (MCA):

The Ministry of Corporate Affairs (MCA) is the government of India's regulatory body responsible for administering Corporate laws and overseeing the functioning of Companies in India.

The role of the MCA in the formulation and notification of Indian Accounting Standards is

1) ^{Legal} Statutory Authority (Legal Authority):

It is the main government department responsible for implementing the Companies Act, 2013.

It looks after Companies, financial reporting and legal ^{Fulfill} Compliance.

Under Section 133 of the Companies Act, MCA has the power to official announce accounting standards that Companies must follow.

2) Co-ordination with NFRA and ICAI:

Before finalizing the accounting standards, MCA takes the ^{Suggestions} recommendations from:

NFRA (National Financial Reporting Authority). Ensures high quality financial reporting.

ICAI (Institute of Chartered Accountants of India).

2) Prepares and suggests accounting standards.

This ensures that the accounting standards are correct, practical, and legally valid.

ICAI → Suggestions → NFRA → Review → MCA → Implement

3) Notification Process:

After receiving recommendations, MCA officially publishes the Accounting standards in the official Gazette (Government Publication).

These notified standards are called as Companies rules, 2015 (Ind AS).

4) Legal and Copyright Oversight:

MCA ensures that Ind AS follows the Copyright Act, 1957.

Since Ind AS are based on International ^{International financial Reporting Standard} Standards (IFRS), MCA ensures that India has the proper permission (license) to use them.

5) Implementation and Monitoring:

MCA checks whether companies are actually following Ind AS.

It issues Clarifications, ^{changes} amendments and updates whenever needed.

This helps Accounting standards remain relevant to changing business practices.

2) Securities and Exchange Board of India (SEBI):

SEBI is India's Statutory regulator of the Securities and Commodity markets. It was established in 1988. It became a statutory body in 1992 under the SEBI Act. Its headquarters is in Mumbai. SEBI protects the interests of investors and ensures that the Companies follow fair and transparent Practices.

The role of SEBI in Corporate financial reporting and Ind AS is as listed below:

1) Regulatory oversight:

SEBI Supervises listed Companies.

It ensures that their financial reports are transparent, timely, reliable.

SEBI makes Sure that Companies follow Ind AS after it is notified by MCA.

2) Implementation of Ind AS:

MCA officially announces Ind AS.

SEBI ensures that listed Companies actually use Ind AS while preparing financial Statements.

SEBI also requires the CEO and CFO to Certified that the financial Statements are prepared Correctly according to Ind AS.

3) Disclosure and Reporting ^{RULES} Norms:

SEBI requires Companies to publish Ind AS based financial statements.

It specifies the format and information that Companies must disclose.

— This helps investors get complete and accurate information before investing.

4) Investor Protection:

One of SEBI's main responsibilities is to protect investors.

It ensures that Companies prepare financial statements according to Ind AS.

SEBI also requires Companies to disclose Price-Sensitive information on time (information that can affect the Shares Price).

It reduces insider trading and misleading financial reporting.

5) Monitoring and ^{Apply} Enforcement:

SEBI regularly checks whether listed Companies are following Ind AS and other financial reporting rules.

It works with the Stock exchanges to ensure and monitor compliance.

If a Company breaks the rules, SEBI can impose penalties, suspend trading, and take legal action.

3) Institute of Chartered Accountants of India:

The Institute of Chartered Accountants of India (ICAI) is India's national professional accounting body established in 1949 under the Chartered Accountants Act. It is the Statutory body regulating the profession of Chartered Accountancy in India. Its headquarters is in New Delhi. It works under the administrative control of the Ministry of Corporate Affairs, Government of India.

ICAI is the main technical body for accounting and auditing in India. It regulates Chartered Accountants, develops accounting standards and ensures that India's Corporate financial reporting is transparent, reliable, and globally comparable.

Roles of ICAI: In Corporate Financial Reporting and Ind AS

1) Professional Standard Setter:

Responsible for creating and improving accounting standards in India.

It prepares Accounting standards for businesses that do not follow Ind AS. Such as Small and Medium Enterprises, Limited Liability Partnerships, Partnership firms, trusts, Cooperative Society.

It also provides guidance, Clarification and Support to accountants and Companies so that the Standards are applied correctly.

2) Recommendation to NFRA / MCA:

ICAI drafts and recommends Accounting Standard proposals to NFRA, NFRA reviews and advises the MCA which formally notifies Ind AS under Section 133 of the Companies Act, 2013.

ICAI → Foundational body.

MCA → Final notifying authority.

3) Uniformity and Transparency in Corporate Financial Reporting:

ICAI ensures that all Companies prepare their financial statements in a uniform format (same format) and in a transparent manner (clear and honest).

It issues accounting standards for certain Companies and develops Ind AS for larger Companies. This makes the financial statements of different Companies easy to compare.

4) Capacity Building:

ICAI helps Companies and Chartered Accountants to understand and implement Ind AS effectively.

It Conducts Seminars, Workshops and training programmes. It publishes guidance notes and implementation manuals.

This helps Companies adopt Ind AS Smoothly.

5) Ethics and Audit Quality:

ICAI ensures that Chartered Accountants work honestly, ethically, and professionally.

It has a Code of ethics that every Chartered Accountant ^{Compulsory} must follow.

It ensures that audits are conducted fairly, Independently and accurately. As high quality audits increase the Confidence of investors, lenders and Stakeholders.

Case Study

LEMOAI Services Ltd. is a Consultancy firm providing IT Solutions. During the year, the Company purchase office equipment worth ₹ 25,00,000 and maintain cash ~~rese~~ reserve of ₹ 10,00,000. It had outstanding trade payables of ₹ 5,00,000 and a short term bank loan of ₹ 15,00,000. The equity of the Company Consisted of ₹ 20,00,000 in Share Capital and retained earnings of ₹ 8,00,000. Revenue from Consulting projects amounted to ₹ 50,00,000 while operating expenses including Salaries and rent totaled ₹ 30,00,000. The financial Statements prepared under Ind AS highlights how assets, liabilities, equity, income, and expenses interact with the present Company financial position and performance.

- 1) Identify the assets reported in LEMOAI Services Ltd. Financial Statements.
- 2) What liabilities did the Company incur during the year?
- 3) How is equity represented in this case?
- 4) How does income affect retained earnings?
- 5) Why are expenses considered a reduction in equity.

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1) → Assets reported in LEMOAT Services Ltd. financial statements include office equipment of ₹ 25,00,000 and cash reserve of ₹ 10,00,000.

2) → The liabilities ~~include~~ incurred during the year are trade payable of ₹ 5,00,000 and short term bank loan of ₹ 15,00,000.

3) → Equity in this case is represented by ₹ 20,00,000 in Share Capital and ₹ 8,00,000 in retained earnings.

4) → Income from Consulting projects amounting to ₹ 50,00,000 increases retained earnings, thereby strengthening the equity of the company.

5) → Expenses of ₹ 30,00,000 reduce the company's profits, which in turn lowers retained earnings and decreases the equity of the company.

* International Regulatory Body: IASB

IASB, IFRS FOUNDATION

International Accounting Standards Board (IASB):

IASB is an independent standard setting body based in London. It was established in 2001, succeeding the International Accounting Standards Committee (IASC). It operates under the IFRS Foundation, which provides governance, funding, and oversight. Members of IASB include auditors, academicians, regulators and investors to ensure balanced perspectives.

IASB develops and issues IFRS standards ensuring global transparency, comparability and consistency in financial reporting. Its functions span standard setting, stakeholder consultation, interpretation ~~of standards~~ approval and continuous updates to reflect evolving business practices.

* Functions of IASB

1) Development of IFRS Standards.

It creates and issues new International Financial Reporting Standards (IFRS).

These standards tell companies how to prepare their financial statements.

2) Revision of IFRS.

IASB regularly updates and improves IFRS.

This keeps the standards relevant to changes in business and the economy.

3) Interpretation.

IASB provides explanation when companies are confused, and don't know about how to apply IFRS.

This ensures that everyone uses the standards correctly.

4) Stakeholder Engagement.

IASB takes suggestions and feedback from investors, companies, auditors, government and other experts before making or changing standards.

This helps create practical and useful accounting rules.

5) Supporting SMEs.

IASB develops simpler accounting standards for small and medium enterprises.

This makes accounting easier for small businesses.

6) Investor protection.

IASB ensures that financial statements are clear, accurate and reliable.

This helps investors make better investment decisions.

7) Promoting Global Adoption.

IASB encourages countries around the world to adopt IFRS.

Using the same accounting standards globally makes financial statements easier to compare across countries.

* IFRS FOUNDATION :

The IFRS Foundation is an independent, non-profit organization established in 2001 to ^{supervise} over-see the development and adoption of IFRS.

It is headquartered in London and legally registered in Delaware, USA.

The Foundation governs two standard setting boards:

- 1) IASB (It issues IFRS Accounting Standards).
- 2) ISSB (International Sustainability Standards Board).
 (It issues sustainability disclosure standards).

^{manages, controls, supervise}
 • Governance Structure :

1) Trustees.

The IFRS Foundation is managed by a group of trustees. They look after the ^{long term planning} Strategic, funding and overall Supervision of the foundation.

2) ^{Supervision} Monitoring Board.

The monitoring Board Supervises the foundation.

It make sure that the foundation is ^{Responsible} accountable to the public.

3) Standard Setting Boards.

These are IASB and ISSB they work independently to develop Standards but are Supervised by the IFRS Foundation.

^{Purpose}
 • Objectives of the IFRS Foundation.

1) Develop Global Standards.

Main objective is to create one set of high-quality accounting and Sustainability Standards that can be used worldwide. This helps

Companies prepare financial Statements in the same way.

2) Promote Consistency.

The foundation ensures that IFRS is applied uniformly in different countries. This reduces differences in accounting standards.

3) Serve the public Interest.

The foundation develops standards that improve the quality, transparency and reliability of financial reporting. This helps investors, lenders, governments and the public make better decisions.

4) Support investor Confidence.

IFRS provides transparent, accurate and comparable financial information. This helps investors decide where to invest their money.

5) Engage Stakeholders.

The IFRS Foundation works together with different groups such as the regulators, auditors, academicians, and investors. It takes their suggestions and feedback while developing accounting standards.

This helps to make the standards trustworthy and reliable.

* Measurement basis for assets and liabilities.

A) Assets.

1) Entry Values:

i) Historical Cost:

It is the original purchase price of the asset (Original Cost).

ii) Current operational value:

The value of an asset based on its current use within the business.

2) Exit values:

i) Fair Value:

It is the price that would be received today. If the asset is sold in a normal market transaction.

B) Liabilities.

1) Entry values:

i) Historical Cost:

The original cost of a liability.

2) Exit values:

i) Cost of fulfilment:

The amount needs to fulfil the obligation (to repay or settle the liability).

ii) Fair Value: It is the amount that would be paid today to transfer or settle the liability in the market.

It is the amount that would be paid today to transfer or settle the liability in the market.

* SEBI Guidelines for Listed Companies.

Meaning :

SEBI (Securities and Exchange Board of India) has issued guidelines for listed Companies under the LoDR (Listing obligations and Disclosure Requirements) Regulations, 2015. These guidelines ensure that Companies:

- Give Correct and timely information to investors.
- Follow good Corporate governance.
- Protect Shareholders interests.
- Maintain transparency and accountability.

i) Corporate Governance Norms.

Corporate governance means running a Company honestly, fairly, and responsibly.

a) Board Composition.

- At least $\frac{1}{3}$ of the directors must be Independent Directors.

- If the Chairperson is not independent, at least 50% of the board should be Independent

Directors:

Simple meaning:

The board should include independent members who can take fair decisions without bias.

b) Audit Committee.

- Must have at least 3 directors.
- Majority should be Independent Directors.
- At least one member should have accounting or finance knowledge.

Functions:

- Check financial statements before approval.
- Monitor internal controls and risk management.
- Ensure compliance with SEBI rules and accounting standards.

Simple meaning:

The Audit Committee checks whether the company's financial reports are correct and reliable.

c) Nomination and Remuneration Committee (NRC).

Functions:

- Select suitable directors and / Senior managers.
- Decide fair salaries and incentives.
- Ensure transparency in executive pay.

Simple meaning:

The Committee appoints qualified people and decides fair salaries.

d) CEO / CFO Certification.

The CEO and CFO ~~take~~ must Certify that:

- Financial Statements are true and fair.
- No false information is given.
- Proper internal Controls are in place.

Simple meaning:

The CEO and CFO take responsibility for the accuracy of financial reports.

e) Disclosure Requirements.

Companies must disclose important financial information regularly.

Quarterly and Annual Results

Companies must publish:

- Quarterly results.
- Annual results.

These should be:

- Accurate.
- Transparent.
- Submitted on time to stock exchanges (NSE/BSE).
- Uploaded on the company's website.

Companies must disclose:

a) Financial Statements.

- Balance Sheet.
- Profit and Loss Account.
- Cash flow Statement.
- Segment Reporting.

b) Notes to Accounts.

Explain accounting policies, assumptions, and important information.

c) Auditor's Report.

Shows the auditor's opinion and any qualifications or adverse remarks.

d) **CEO/CFO Certificate.**
Confirms the correctness of financial statements.

e) **Event-based Disclosures.**
Companies must immediately inform stock exchanges about important events like:

- Board meetings.
- Fund raising.
- Credit rating changes.

f) **Related party Transactions (RPTs).**

Companies must disclose transactions with related parties and obtain shareholder approval if required.

Simple meaning:

Companies should openly share all important financial and business information with investors.

3) **Compliance Reporting.**

Companies must regularly submit Corporate Governance Reports to SEBI.

The report includes:

- Board Composition.
- Committee details.

- Number of meetings held.
- Attendance of directors.
- Investor Complaints.
- CEO / CFO Certification.
- Risk management practices.
- Compliance with Code of Conduct.
- Subsidiary governance details.

Simple meaning:

Companies must regularly report that they are following SEBI rules.

4) Annual Report.

Every listed company must prepare an Annual Report.

It contains:

a) Audited Financial Statements.

- Balance Sheet

ii. Profit and Loss Account.

iii. Cash Flow Statement.

- Statement of Changes in Equity.
- Notes to Accounts.
- Auditor's Report.

b) Corporate Governance Report.

Includes:

- Board Composition.
- Committee reports.
- CEO / CFO Certification.

- Investor grievance details
- Subsidiary governance.

c) Management Discussion and Analysis: (MD and A):

It explains:

- Industry trends.
- Company's Performance.
- Risks faced by the Company.
- Future plans and growth opportunities.

Simple meaning:

The Annual Report gives complete information about the Company's financial performance, governance, and future plans.

5) Reconciliation of Share Capital Audit:

A practising Company secretary verifies whether:

- Issued Shares,
 - Listed Shares, and
 - Shares held with NSDL/CDSC.
- All match the Company's records.
- This audit is done every quarter.

Simple meaning:

It checks whether the Company's share records are accurate.

6) Integrated XBRL Filing.

Companies Submit reports in XBRL (Extensible Business Reporting Language).

Benefits:

- Standard format.
- Easy electronic filing.
- Faster Comparison of financial information.

Simple Meaning:

XBRL is a digital reporting system that makes financial reporting easier and more accurate.

7) Shareholder Rights and Meetings.

AGM/EoGM Notices.

Companies must:

- Give at least 21 clear days notice before the meeting.
- Send notices through email and also publish them on the Company's website and Stock Exchange portal.
- Mention agenda and important resolutions.

Simple Meaning:

Shareholders should receive proper notice before meetings.

Voting Results.

Companies must disclose:

- Number of votes in favour and against.
- Percentage of approval.
- Voting method (E-voting, ballot, Poll).

Results must be submitted within 2 working days.

Simple Meaning:

Voting results should be shared openly with shareholders.

8) Investor Grievance Redressal.

Companies must disclose:

- Number of Complaints received.
- Complaints resolved.
- Pending Complaints.

The Stakeholders Relationship Committee monitors these Complaints.

Examples:

- Dividend not received.
- Demat issues.
- Share transfer delay.

Simple meaning:

~~Simple~~ Companies must solve investors Complaints quickly.

9) Insider Trading and Market Integrity.
 Companies must:

- Close the trading window before important announcements.
- Ensure insider disclose their share transactions.
- Timely announce dividends, mergers, buybacks, etc.

Conclusion.

SEBI's LoDR Guidelines ensure that listed Companies:

- Follow good Corporate governance.
- Provide transparent and timely financial information.
- Protect investors interests.
- Maintain accountability and ethical business practices.
- Strengthen confidence in the Indian Stock market.

* Easy Memory Trick.

SEBI = TGI

T - Transparency.

G - Good Corporate Governance.

I - Investor Protection.

This is the main objective of all SEBI guidelines.